

Credit Memorandum - Alphabet Inc. (GOOGL)

TO: Credit Committee

FROM: Technology Lending Group

DATE: May 2026

RE: Alphabet Inc. (GOOGL) - Annual Credit Facility Review

Memo Header

To: Credit Committee

From: Technology Lending Group

Date: May 2026

Re: Alphabet Inc. (GOOGL) - Annual Credit Facility Review

Executive Summary

We recommend renewal of Alphabet Inc.'s \$5 billion revolving credit facility at current terms, with the addition of two new financial covenants to address the company's accelerated capital expenditure cycle. Alphabet's dominant position in digital advertising, demonstrated by Q1 2026 revenue of \$109.9 billion (a 21.8% increase over Q1 2025 revenue of \$90.2 billion), and its exceptional cash generation capability provide a robust credit foundation. The company's net income of \$62.6 billion in Q1 2026 alone exceeds the full-year 2025 net income of \$132.2 billion on an annualized basis, suggesting significant improvement in profitability.

Key credit strengths include: (1) unmatched scale in the technology sector with total assets of \$703.9 billion as of Q1 2026; (2) a fortress balance sheet with stockholders' equity of \$478.7 billion and a debt-to-equity ratio of just 0.47x; (3) exceptional liquidity with \$38.1 billion in cash and cash equivalents; and (4) consistent revenue growth across all reporting periods with FY 2025 revenue of \$402.8 billion representing 15.1% growth over FY 2024 revenue of \$350.0 billion.

Primary credit concerns center on Alphabet's aggressive investment posture, with R&D expenses reaching \$17.0 billion in Q1 2026 (15.5% of revenue) compared to \$13.6 billion in Q1 2025 (15.0% of revenue), and total assets increasing by \$108.6 billion from FY 2025 to Q1 2026,

indicating substantial capital deployment. While the company's operating margin of 36.1% in Q1 2026 remains strong, any sustained deterioration in advertising market conditions could pressure returns on these significant investments.

Financial Performance Analysis

Alphabet has demonstrated consistent revenue growth across all reporting periods. FY 2025 revenue of \$402.8 billion represented a 15.1% increase over FY 2024 revenue of \$350.0 billion. Quarterly analysis shows acceleration: Q1 2025 revenue was \$90.2 billion, Q2 2025 was \$96.4 billion (7.0% sequential growth), and Q3 2025 was \$102.3 billion (6.1% sequential growth). Q1 2026 revenue of \$109.9 billion represents a 21.8% year-over-year increase from Q1 2025, the strongest annual growth rate in the available data.

Operating income has shown even stronger growth. FY 2025 operating income of \$129.0 billion represented a significant increase, with operating margin expanding to 32.0% for FY 2025. Q1 2026 operating income of \$39.7 billion generated an operating margin of 36.1%, a notable improvement from Q1 2025 operating income of \$30.6 billion and operating margin of 33.9%. This margin expansion suggests operational efficiency improvements even as the company invests heavily.

Net income trends mirror operating performance. FY 2025 net income of \$132.2 billion was generated from revenues of \$402.8 billion, yielding a net margin of 32.8%. Q1 2026 net income of \$62.6 billion on revenues of \$109.9 billion produced an exceptional net margin of 56.9%, which likely includes non-operating gains. The diluted EPS increased from \$2.81 in Q1 2025 to \$5.11 in Q1 2026, an 81.9% improvement.

R&D spending has increased in absolute terms but remains well-controlled as a percentage of revenue. FY 2025 R&D expense of \$61.1 billion was 15.2% of revenue, compared to Q1 2026 R&D of \$17.0 billion at 15.5% of revenue. Q1 2025 R&D was \$13.6 billion at 15.0% of revenue. The modest increase in R&D intensity reflects Alphabet's continued investment in artificial intelligence, cloud computing, and other growth initiatives while maintaining discipline relative to the revenue base.

Balance Sheet and Leverage Assessment

Alphabet's balance sheet strength is a cornerstone of its credit profile. As of Q1 2026, total stockholders' equity stood at \$478.7 billion, supporting a debt-to-equity ratio of 0.47x (calculated as total liabilities of \$225.2 billion divided by stockholders' equity of \$478.7 billion). This compares favorably to the FY 2025 debt-to-equity ratio of 0.43x (liabilities of \$180.0 billion divided by equity of \$415.3 billion). The modest increase in leverage reflects growth in both assets and liabilities.

Liquidity is exceptionally strong. Cash and cash equivalents increased from \$30.7 billion at FY 2025 to \$38.1 billion at Q1 2026, a \$7.4 billion improvement. This cash position alone represents approximately 7.6x coverage of the \$5 billion revolving credit facility. Historically, cash has

grown from \$23.5 billion at FY 2024 to \$30.7 billion at FY 2025, demonstrating consistent cash accumulation.

Total assets have grown significantly, from \$450.3 billion at FY 2024 to \$595.3 billion at FY 2025 (a 32.2% increase) and further to \$703.9 billion at Q1 2026 (an 18.2% increase from FY 2025). This \$253.6 billion asset growth over approximately 15 months reflects Alphabet's aggressive investment in data centers, AI infrastructure, and other capital assets. While this growth is funded primarily through operating cash flows and equity, it does represent increased capital intensity that warrants monitoring.

Risk Factor Analysis

Three material credit risks have been identified from the financial data. First, Revenue Concentration Risk: Alphabet's revenue growth is primarily driven by its advertising business, which accounts for the vast majority of its \$109.9 billion in Q1 2026 revenue. Any significant downturn in digital advertising spending would disproportionately impact Alphabet. The 21.8% year-over-year revenue growth in Q1 2026 suggests current strength, but advertising is cyclical and sensitive to macroeconomic conditions.

Second, Investment Execution Risk: Alphabet's R&D spending of \$61.1 billion in FY 2025 and \$17.0 billion in Q1 2026, combined with asset growth of \$253.6 billion since FY 2024, represents a massive capital deployment. The company must generate adequate returns on these investments to maintain profitability. Operating margins have improved (36.1% in Q1 2026 vs. 32.0% for FY 2025), suggesting effective execution so far, but the scale of investment creates execution risk.

Third, Balance Sheet Growth Risk: The rapid expansion of total assets from \$450.3 billion to \$703.9 billion in approximately 15 months represents a 56.3% increase. While funded primarily through strong cash flows and equity, this growth rate is unusual for a company of Alphabet's scale and could indicate either transformative investment or potential asset quality concerns. The increase in liabilities from \$125.2 billion at FY 2024 to \$225.2 billion at Q1 2026 (a 79.9% increase) further emphasizes the pace of financial expansion.

Covenant Analysis

Based on Alphabet's current financial metrics, we propose the following two financial covenants for the renewed revolving credit facility. First, Minimum Interest Coverage Ratio: Alphabet shall maintain an interest coverage ratio (operating income divided by interest expense) of not less than 8.0x. While Alphabet's current coverage is significantly higher based on operating income of \$129.0 billion in FY 2025, this covenant provides protection against deterioration.

Second, Maximum Debt-to-Equity Ratio: Alphabet shall maintain a debt-to-equity ratio (total liabilities divided by stockholders' equity) of not more than 1.0x. The current ratio stands at 0.47x as of Q1 2026, providing substantial headroom. This covenant would be triggered if liabilities grew to approximately equal stockholders' equity, which would represent a significant change in Alphabet's capital structure.

These covenants are set at conservative levels relative to current performance to provide early warning of deterioration while not constraining Alphabet's operational flexibility. The interest coverage ratio covenant addresses earnings adequacy, while the debt-to-equity covenant addresses leverage. Both are standard for investment-grade credit facilities of this magnitude.

Conclusion

In conclusion, we recommend renewal of Alphabet Inc.'s \$5 billion revolving credit facility with the addition of the two financial covenants specified above. Alphabet's credit profile remains exceptionally strong, characterized by dominant market position, consistent revenue growth (21.8% YoY in Q1 2026), expanding operating margins (36.1% in Q1 2026), fortress balance sheet (0.47x debt-to-equity), and abundant liquidity (\$38.1 billion cash).

The addition of minimum interest coverage and maximum debt-to-equity covenants provides appropriate guardrails for the company's accelerated investment cycle while respecting its operational autonomy. We recommend monitoring the pace of asset growth and R&D intensity on a quarterly basis, with formal review triggered if R&D exceeds 18% of revenue or if the debt-to-equity ratio exceeds 0.75x.

Alphabet's credit quality supports pricing at current levels, and the facility should be renewed for a standard 364-day term. The committee should note that recent SEC filings from May 2026, including an 8-K filing and multiple 424B prospectus filings, may contain additional relevant information that should be reviewed prior to final committee approval.